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# Iceland: Kaupthing Emergency Liquidity Program, 2008<sup>1</sup>

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Yale Program on Financial Stability Case Study  
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## Abstract

Following the privatization of Iceland's state-owned banks between 1998 and 2003, the three largest banks in Iceland—Glitnir, Landsbanki, and Kaupthing—grew rapidly, with consolidated assets increasing from 100% of Iceland's GDP in 2004 to nearly 900% by the end of 2007. Initially, this growth was funded by debt issuances in the European medium-term note market; however, as cracks in the international financial system appeared in 2006, the banks turned to offering high-interest savings accounts through their foreign subsidiaries. Beginning in October 2006, Kaupthing launched “Kaupthing Edge,” an online savings and deposit platform operating in markets outside Iceland. When the United States investment bank Lehman Brothers failed in September 2008, Iceland's three major banks began to fail as a result of a run on their foreign currency deposits. On October 6, 2008, in an effort to prevent the failure of Kaupthing, the Central Bank of Iceland (CBI) provided it with a EUR 500 million loan against all of its shares in its subsidiary FIH Erhversbank A/S. Although the duration of the loan was initially set for four days, Kaupthing failed in three, on October 9. Immediately following Kaupthing's failure, the Icelandic Financial Supervisory Authority appointed a resolution committee, which, in tandem with the CBI, began searching for a buyer for FIH. Upon the transfer of FIH to a consortium of new owners in January 2011, the CBI recovered EUR 255 million—approximately half of the initial loan amount.

**Keywords:** ad hoc emergency liquidity, Central Bank of Iceland, Global Financial Crisis, Kaupthing

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<sup>1</sup> This case study is part of a Yale Program on Financial Stability (YPFS) selection of New Bagehot Project modules considering ad hoc emergency liquidity provision. A survey of all the cases in this series (Kelly et al. 2025) and the individual cases underlying it are available from the *Journal of Financial Crises* at <https://elischolar.library.yale.edu/journal-of-financial-crises/vol7/iss1/>. Wiggins et al. (2022) surveys broad-based emergency liquidity programs.

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Overview

This case study covers the ad hoc emergency liquidity program provided by the Central Bank of Iceland (CBI) to Kaupthing in October 2008 during the Global Financial Crisis (GFC). Along with Glitnir and Landsbanki, Kaupthing was one of Iceland's three major banks, and it was grappling with severe liquidity issues following massive deposit withdrawals and the collapse of interbank markets—exacerbated by the failure of the United States investment bank Lehman Brothers. The CBI intended the intervention to act as a bridge loan to aid Kaupthing in surviving its liquidity crisis (Baudino, Sturluson, and Svoronos 2020; CBI 2019). The intervention was part of Iceland's broader effort to maintain financial stability during this turbulent period, an effort that included the nationalization of Iceland's other large banks, Landsbanki and Glitner; establishing bilateral swap facilities with the central banks of Denmark, Norway, and Sweden; and a blanket guarantee on domestic deposits (Baudino, Sturluson, and Svoronos 2020; Hoffner 2023; Kulam 2022). Additionally, Kaupthing's subsidiaries in Sweden and the United Kingdom received separate support from the regulatory authorities in those countries to protect their depositors and ensure national financial stability (HM Treasury 2008; Sveriges Riksbank 2008).

Iceland's entry into the European Economic Area (EEA) in 1994 allowed Icelandic banks to expand into Europe (see Figure 1 for a timeline of the Global Financial Crisis in Iceland). This coincided with the deregulation and privatization of Iceland's banking sector, which concluded in 2003 with the merger of Kaupthing and Bunadarbanki, which kept the Kaupthing name (Baudino, Sturluson, and Svoronos 2020). Following privatization, Icelandic

Key Terms

|                                                                                                                                                           |                                                                                                                                                                                                                                                                                             |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Purpose: The emergency liquidity provided to Kaupthing by the CBI was intended to act as a bridge loan to aid Kaupthing in surviving its liquidity crisis |                                                                                                                                                                                                                                                                                             |
| Announcement Date                                                                                                                                         | October 7, 2008                                                                                                                                                                                                                                                                             |
| Operational Date                                                                                                                                          | October 6, 2008                                                                                                                                                                                                                                                                             |
| Termination Date                                                                                                                                          | October 9, 2008                                                                                                                                                                                                                                                                             |
| Legal Authority                                                                                                                                           | Act No. 36/2001                                                                                                                                                                                                                                                                             |
| Administrator                                                                                                                                             | Central Bank of Iceland                                                                                                                                                                                                                                                                     |
| Peak Authorization                                                                                                                                        | EUR 500 million                                                                                                                                                                                                                                                                             |
| Peak Outstanding                                                                                                                                          | EUR 500 million                                                                                                                                                                                                                                                                             |
| Collateral                                                                                                                                                | All of Kaupthing's shares in its subsidiary FIH Erhversbank A/S (FIH) were pledged as collateral                                                                                                                                                                                            |
| Haircut and Recourse                                                                                                                                      | The book value of FIH was more than 200% of the loan amount                                                                                                                                                                                                                                 |
| Interest Rate and Fees                                                                                                                                    | 9.4% (market rate plus 500 bps)                                                                                                                                                                                                                                                             |
| Term                                                                                                                                                      | Four days (terminated a day early due to the failure of Kaupthing)                                                                                                                                                                                                                          |
| Part of a Package                                                                                                                                         | The Icelandic government announced a full guarantee of domestic deposits on October 6                                                                                                                                                                                                       |
| Outcomes                                                                                                                                                  | Kaupthing collapsed on the night of October 9; the emergency liquidity assistance did not prevent the failure of Kaupthing because, in practice, the three major Icelandic banks were already insolvent; following the sale of FIH, the CBI recovered approximately half of the loan amount |
| (continued)                                                                                                                                               |                                                                                                                                                                                                                                                                                             |

banks experienced rapid growth, with consolidated assets across the three largest banks increasing from 100% of GDP in 2004 to nearly 900% by the end of 2007 (IMF 2008). Kaupthing saw its total assets grow from 558 billion Icelandic kronur (ISK)<sup>4</sup> at the end of 2003 to ISK 5.3 trillion<sup>5</sup> by the end of 2007 (Kaupthing 2004; Kaupthing 2008b).

To support their rapid expansion, the three major Icelandic banks relied heavily on international funding, initially by borrowing in the euro-denominated medium-term note market, taking advantage of Iceland's favorable credit rating at the time (Baudino, Sturluson, and Svoronos 2020). However, by early 2006, cracks in the financial system began to emerge, with analysts warning of potential financial instability, as highlighted by Danske Bank's 2006 "Iceland: Geyser Crisis" report (Valgreen et al. 2006). This weakened market confidence limited Icelandic banks' access to wholesale funding and prompted Kaupthing to attract deposits abroad through subsidiaries and online platforms such as "Kaupthing Edge" (Baudino, Sturluson, and Svoronos 2020; BCBS 2010). As international deposit collection slowed by mid-2007, Icelandic banks turned to central banks for funding, primarily through collateralized borrowing from the CBI and the European Central Bank (ECB), with Kaupthing accessing ECB funding through its subsidiary in Luxembourg (Baudino, Sturluson, and Svoronos 2020).

Iceland's three major banks passed stress tests in 2008, with the Icelandic Financial Supervisory Authority (Fjármálaeftirlitið, or FME) releasing the results of its spring stress tests in August 2008 (CBI 2008f; FME 2008a). However, rising funding pressures caused by falling stock and real estate prices signaled worsening market expectations, challenging the banks' ability to sufficiently collateralize their borrowing from central banks (Baudino, Sturluson, and Svoronos 2020).

Kaupthing and the other two major banks turned to issuing bonds to one other and using these bonds as collateral to secure loans from central banks. This novel practice allowed them to bypass central bank funding limits, as they could issue these bonds—often referred to as "love letters"—whenever necessary, in virtually unlimited amounts. By August 2008, the ECB had concerns about the quality of the collateral being provided by Icelandic banks' Luxembourg subsidiaries and refused to accept any additional Icelandic bank bonds as collateral, restricting Kaupthing's access to central bank borrowing from the ECB. However,

|                  |                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Notable Features | Before extending the loan, the CBI governor privately told the prime minister he didn't expect Kaupthing to repay it; The collateral for the emergency liquidity assistance provided to Kaupthing consisted of all its shares in its foreign Danish subsidiary, FIH Erhvervsbank A/S, valued at more than 200% of the loan amount based on its book value, though this valuation was not independently verified owing to time constraints |
|------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

<sup>4</sup> Per FRED, USD 1 = ISK 70.96 on December 31, 2003.  
<sup>5</sup> Per FRED, USD 1 = ISK 61.84 on December 31, 2007.

the CBI continued to accept these “love letter” bonds out of concerns of systemic stress (Baudino, Sturluson, and Svoronos 2020).

Although the Icelandic banks had no direct exposure to Lehman Brothers, its collapse on September 15, 2008, indirectly affected Icelandic banks by freezing interbank credit markets, further aggravating Kaupthing’s liquidity issues (Baudino, Sturluson, and Svoronos 2020).

As market conditions continued to deteriorate, on September 25, Glitnir informed authorities it could not meet its liabilities due the following month and sought an emergency loan from the CBI. The CBI declined the request, noting Glitnir would face similar payment obligations in January 2009; on September 29, the FME partially took over Glitnir. This move led to a downgrade of Iceland’s sovereign credit rating, which in turn resulted in credit lines for Icelandic banks being cut or subjected to margin calls (Baudino, Sturluson, and Svoronos 2020).

Following the downgrade, Kaupthing and other Icelandic banks faced large-scale deposit runs (Baudino, Sturluson, and Svoronos 2020). Between late September and early October, Kaupthing Edge saw 30% of its deposits withdrawn (FME 2009). Runs were particularly severe at Kaupthing’s UK subsidiary, Kaupthing Singer & Friedlander (KSF).

In a meeting in the early morning hours of October 6, 2008, among the CBI and three representatives from JPMorgan, the JPMorgan representatives suggested that the broader Icelandic financial system could not be saved, but there was still hope to defend Kaupthing (Parliamentary Research Committee 2010). On the following morning, the governor of the CBI stated in a phone call with the prime minister that Kaupthing would go bankrupt if the CBI did not provide the loan on the same day (CBI 2019). The prime minister and the governor of the CBI discussed granting EUR 500 million<sup>6</sup> of liquidity—using FIH Erhvervsbank A/S, Kaupthing’s Danish subsidiary and at the time the sixth-largest bank in Denmark, as collateral—to function as a bridge loan to help Kaupthing survive its liquidity crisis (Baudino, Sturluson, and Svoronos 2020; CBI 2019). On the call, then-CBI Governor Davíð Oddsson told the prime minister that he didn’t expect CBI would get its money back; later that day, he told reporters that if Kaupthing didn’t repay the loan, the CBI would have acquired a very good Danish bank (CBI 2019; RÚV 2008).

The timeline to finalize the loan was rushed, and there was limited time to assess the collateral and value of FIH, so the CBI reached out to two governors of the Danmarks Nationalbank to ask if they considered FIH solid collateral for a short-term loan of EUR 500 million. The governors agreed that it was (CBI 2019; Parliamentary Budget Committee 2013). The CBI did not have the time to independently verify the valuation of FIH (CBI 2019).

Owing to time constraints, there was not enough time to transfer ownership of FIH to the CBI in either electronic or paper form. Instead, a collateral pledge was signed in two parts:

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<sup>6</sup> According to FRED, EUR 1 = 1.35 USD on October 6, 2008.

one by Kaupthing's CEO and the other by Kaupthing's treasury managing director and its general counsel (CBI 2019).

Later in the afternoon of October 6, the CBI transferred the funds into Kaupthing's account at Deutsche Bank. In the payment instructions, the CBI specified that the euros should be made available to Kaupthing on the same day (CBI 2019). The funds came from the foreign exchange reserves of the CBI (Baudino, Sturluson, and Svoronos 2020).

Despite the liquidity support from the central bank, runs intensified, particularly in KSF. Following a period of intensified oversight, the UK Financial Services Authority (FSA) concluded on October 8, 2008, that KSF no longer met the requirements to operate as a credit institution. The FSA triggered the Financial Services Compensation Scheme (FSCS), the UK's statutory compensation fund of last resort for customers of financial services firms and ordered it to halt new business. That same day, the UK government used special powers to transfer KSF's Edge deposits to ING Direct, financed by the FSCS and the government, which became KSF's creditors (HM Treasury 2008). Kaupthing collapsed on October 9, prompting the FME to take control. In the aftermath, the Icelandic government attributed the bank's failure to the collapse of KSF (CBI 2019; FME 2008b; Parliamentary Research Committee 2010).

Immediately following Kaupthing's failure, the FME appointed a resolution committee, which began searching with the CBI for a buyer for FIH, with several unsuccessful sales attempts made in the last few months of 2008 (CBI 2019). The CBI eventually sold FIH to a consortium consisting of ATP (Denmark's largest pension fund), PFA (Denmark's second-largest pension fund), Folksam (one of Sweden's largest insurance groups), and CP Dyvig & Co. (a consulting and investment firm) in January 2011, recovering EUR 255 million—approximately half of the initial loan amount (CBI 2010a; CBI 2019).

Following the collapse of all three major Icelandic banks, the Icelandic Parliament established the Special Investigation Commission (SIC), whose primary mandate was to investigate and analyze the events leading up to the banking collapse. The SIC published its report in April 2010 (SIC 2010). In addition to the SIC report, parliamentary hearings provided further post-crisis assessments (Parliamentary Budget Committee 2013).

**Figure 1: Timeline of the GFC in Iceland and Emergency Liquidity Assistance Provided to Kaupthing**

| Date       | Event                                                                                                              |
|------------|--------------------------------------------------------------------------------------------------------------------|
| 1994       | Iceland joins the EEA and gains access to European markets through European Union passport rules.                  |
| 2003       | The merger of Kaupthing and Bunadarbanki is complete, finalizing the privatization of Iceland's three major banks. |
| March 2006 | Danske Bank issues its "Iceland: Geyser Crisis" report, warning of a substantial risk of a financial crisis.       |
| Oct. 2006  | Kaupthing Edge is launched in the UK, Belgium, Finland, Norway, and Sweden.                                        |

|                |                                                                                                                                                                                                                                                                                                                                          |
|----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| May 2008       | All Icelandic banks pass the stress test of the FME.                                                                                                                                                                                                                                                                                     |
| Aug. 2008      | ECB refuses to accept Icelandic bank bonds as collateral, but the CBI continues to accept the bonds to avoid potential systemic stress.                                                                                                                                                                                                  |
| Sept. 29, 2008 | Left with no alternatives and rumors about the bank's problems, Glitnir's board and main shareholders accept the government's proposal for a partial takeover.                                                                                                                                                                           |
| Sept. 30 2008  | Standard & Poor's cuts Iceland's sovereign credit rating by three notches, leading to credit lines for Icelandic banks being cut or subjected to margin calls.                                                                                                                                                                           |
| Oct. 3, 2008   | By Friday, October 3, the Icelandic banking system is subject to an increasing and widespread run, bringing the whole system to the brink of collapse.                                                                                                                                                                                   |
| Oct. 5, 2008   | Kaupthing and Landsbanki submit a joint proposal to the government that suggests the CBI should immediately provide EUR 1,000 million to Landsbanki and EUR 500 million to Kaupthing.                                                                                                                                                    |
| Oct. 6, 2008   | Prime minister announces the government's intent to fully guarantee domestic deposits.                                                                                                                                                                                                                                                   |
| Oct. 6, 2008   | A EUR 500 million loan from CBI to Kaupthing is approved and disbursed with all of Kaupthing's shares in its subsidiary FIH put up as collateral. Landsbanki does not receive a loan. The Finnish Financial Supervisory Authority blocks the transfer of assets owned by Icelandic banks, including Kaupthing, from leaving the country. |
| Oct. 7, 2008   | Faced with the imminent collapse of all three major banks, the Parliament passes the Emergency Act (Act No. 125/2008) early on Tuesday morning. The Icelandic FME takes over Landsbanki.                                                                                                                                                 |
| Oct. 8, 2008   | Riksbank, the Swedish central bank, extends 5,000 million Swedish kronor (SEK) <sup>(a)</sup> to Kaupthing Sverige. UK's FSA transfers KSF UK deposits to ING Direct as it determines that KSF no longer meets its threshold conditions for meeting depositor withdrawal needs. The FME puts Glitnir into receivership.                  |
| Oct. 9, 2008   | The FME intervenes into Kaupthing's operations using the authority granted under the Emergency Act (Act No. 125/2008). The FME appoints a resolution committee that assumes all authorizations of the board of directors of Kaupthing. The CBI and the resolution committee immediately begin searching for a buyer for FIH.             |
| Sept. 18, 2010 | The purchase agreement for the sale of FIH is signed.                                                                                                                                                                                                                                                                                    |
| Jan. 6, 2011   | FIH is handed over to new owners; following the handover, a payment of 1,900 million Danish kroner (DKK; EUR 255 million) is transferred to the CBI such that approximately half of the original loan amount is recovered.                                                                                                               |

(a) According to the ECB, EUR 1 = SEK 9.68 on October 8, 2008.

*Source: Authors' analysis.*

## Summary Evaluation

The CBI loan to Kaupthing was controversial in Iceland because of the size of the loss incurred by the CBI and because of the lack of public disclosures about the CBI's reasoning behind the decision to grant the emergency liquidity assistance. Iceland's Parliamentary Budget Committee began seeking information from the CBI regarding the loan in 2012 (RÚV 2013). During the 2012–2013 legislative session, the Parliamentary Budget Committee published a document containing the majority opinion of the committee regarding the CBI's loan. This report finds that the CBI broke its own rules in extending the loan to Kaupthing without following its own procedures. The committee also concludes, in light of recently



revealed information about the collapse of the Icelandic banking system, that the need for the last-resort loan to Kaupthing was not as unforeseen as was originally thought. Therefore, the committee states that the CBI could have had time to prepare for the loan with proper documentation (Parliamentary Budget Committee 2013).

On May 27, 2019, the CBI released a comprehensive report on the emergency loan with a foreword written by then-Governor of the CBI Már Guðmundsson (Elliott 2019). Guðmundsson, who retired after 10 years in office shortly after the publication of the report, writes that there was a strong possibility the loan was granted because the CBI believed that the loan could ensure that one bank (Kaupthing) would remain in operation and because the collateral made the risk of loss small. However, Guðmundsson writes with the benefit of hindsight that neither belief was correct and that in retrospect it would have been better not to grant the loan (CBI 2019). Guðmundsson also writes that while in retrospect the decision to grant the loan was wrong no laws were broken in the process of lending Kaupthing the EUR 500 million (Elliott 2019).

In the foreword to the CBI's report, Guðmundsson also identifies the two primary lessons that the CBI learned while analyzing the circumstances surrounding the emergency loan. First, the process surrounding the granting of last-resort loans needed to be clarified. Second, Guðmundsson writes that the pledging of capital of a foreign bank as collateral is not appropriate when the CBI grants loans to domestic banks (CBI 2019).

The day after the report was released, Guðmundsson said at a press conference,

I think that we must learn the lesson for the future that great lengths should be gone to in order to avoid taking shares in foreign banks as collateral—and not only when a banking crisis is in progress. That is both because shares in banks can evaporate and get lost first, but also because then you are under overseas jurisdiction. Foreign governments and oversight agencies can affect the process, sometimes for the better and sometimes in a way that would not necessarily aid our interests. (Elliott 2019)

Guðmundsson also highlighted at this press conference the importance for central banks of maintaining a sufficient view of available collateral at any given time for facilities of last resort (Bjarnason 2019).

In 2019, there was a bill before Parliament that would require any decisions on the granting of last-resort loans to be taken during meetings with the governor of the central bank and three deputy governors and further requiring that the decision be recorded in the meeting minutes for proper documentation (CBI 2019). At the press conference in May 2019, Guðmundsson said that the board of directors was still making board decisions that were not accompanied by minutes explaining the decision-making process, and Guðmundsson expressed that this absence of a requirement of meeting minutes should be altered moving forward (Bjarnason 2019). In July 2019, Parliament approved the Act on the Central Bank of Iceland, No. 92/2019, which includes the stipulation that when the central bank is deciding whether to grant guarantees or loans to institutions experiencing liquidity problems, the

decision must be made by the governor and the deputy governors and recorded in the meeting minutes (Icelandic Government 2019).

The Bank for International Settlements' Financial Stability Institute also discusses the use of emergency liquidity assistance by Iceland during the GFC. Patrizia Baudino, Jon Thor Sturluson, and Jean-Philippe Svoronos write that the emergency liquidity assistance proved inadequate for preventing the failure of Kaupthing because, in practice, the three major Icelandic banks were already insolvent. Had sufficient information on the solvency position of Kaupthing been available in the first week of October, it would have shown that granting emergency liquidity assistance under the circumstances would not have prevented the failure of the bank, as this liquidity would not have addressed their lack of solvency (Baudino, Sturluson, and Svoronos 2020).

| Context: Iceland 2008–2009                        |                            |
|---------------------------------------------------|----------------------------|
| GDP (SAAR, nominal GDP in USD)                    | \$18.1 billion in 2008     |
|                                                   | \$13.2 billion in 2009     |
| GDP per capita (SAAR, nominal GDP in USD)         | \$56,943.4 in 2008         |
|                                                   | \$41,301.3 in 2009         |
| Sovereign credit rating (long-term debt)          | Moody's: Baa1 in 2008      |
|                                                   | S&P: BBB+ in 2008          |
|                                                   | Fitch: A- *- in 2008       |
|                                                   | Moody's: Baa3 in 2009      |
|                                                   | S&P: BBB+ in 2009          |
|                                                   | Fitch: A- in 2009          |
| Size of banking system                            | \$35.9 billion in 2008     |
|                                                   | \$25.1 billion in 2009     |
| Size of banking system as a % of GDP              | 198.4% in 2008             |
|                                                   | 190.6% in 2009             |
| Size of banking system as a % of financial system | Data not available in 2008 |
|                                                   | Data not available in 2009 |
| Five-bank concentration of banking system         | Data not available in 2008 |
|                                                   | Data not available in 2009 |
| Foreign involvement in banking system             | 0% in 2008                 |
|                                                   | 0% in 2009                 |
| Existence of deposit insurance                    | Yes in 2008                |
|                                                   | Yes in 2009                |

Sources: Bloomberg; World Bank Deposit Insurance Dataset; World Bank Global Financial Development Database.

## Key Design Decisions

- 1. Purpose: The emergency liquidity the CBI provided to Kaupthing aimed to stabilize the bank as it faced substantial deposit withdrawals and a loss of access to funding sources following the downgrade of Iceland's sovereign credit rating and the freezing of interbank credit markets.**

In 2008, increasing funding pressures because of falling stock and real estate prices signaled worsening market expectations and contributed to a decline in the quality and amount of collateral Kaupthing—one of Iceland's three largest banks, which, along with Glitnir and Landsbanki accounted for 80% of the financial system—could post at the CBI. This challenged the banks' ability to sufficiently collateralize their borrowing from central banks. Kaupthing and the other banks turned to issuing bonds to each other and using these bonds as collateral to secure loans from central banks. This novel practice allowed them to bypass central bank funding limits, as they could issue these bonds—often referred to as “love letters”—whenever needed in virtually unlimited amounts. By August 2008, the ECB had concerns about the quality of the collateral being provided by Icelandic banks' Luxembourg subsidiaries and refused to accept any additional Icelandic bank bonds as collateral, restricting Kaupthing's access to central bank borrowing from the ECB; however, the CBI continued to accept these “love letter” bonds out of concerns of systemic stress (Baudino, Sturluson, and Svoronos 2020).

Although the Icelandic banks had no direct exposure to Lehman Brothers, its collapse on September 15, 2008, indirectly affected Icelandic banks by freezing interbank credit markets, further aggravating Kaupthing's liquidity issues (Baudino, Sturluson, and Svoronos 2020).

The Icelandic Financial Supervisory Authority partially took over Glitnir on September 29, and this led to a downgrade of Iceland's sovereign credit rating, which in turn resulted in credit lines for Icelandic banks being cut or subjected to margin calls (Baudino, Sturluson, and Svoronos 2020).

Following the downgrade, Kaupthing and other Icelandic banks faced large-scale deposit runs (Baudino, Sturluson, and Svoronos 2020). Between late September and early October, Kaupthing Edge saw 30% of its deposits withdrawn (FME 2009).

In a meeting in the early morning hours of October 6 among the CBI and three representatives from JPMorgan, the JPMorgan representatives suggested that the broader financial system could not be saved, but there was still hope to defend Kaupthing (Parliamentary Research Committee 2010). On the morning of October 6, 2008, the governor of the CBI stated in a phone call with the prime minister that Kaupthing would go bankrupt if it did not provide the loan on the same day (CBI 2019).

Later that afternoon, on October 6, the CBI transferred EUR 500 million into Kaupthing's account at Deutsche Bank, using Kaupthing's 99.89% stake in FIH Erhvervsbank A/S as

collateral. The assistance was intended to act as a bridge loan to help Kaupthing survive its liquidity crisis (Baudino, Sturluson, and Svoronos 2020; CBI 2019).

It was not until months following the collapse of Kaupthing, Glitnir, and Landsbanki that sufficiently accurate information on the banks' solvency positions became available (Baudino, Sturluson, and Svoronos 2020). Mark Flannery writes, in "Iceland's Failed Banks: A Post-Mortem" (a report prepared for the SIC), that while it is not possible to definitively state whether one or all of the major banks were insolvent in the first week of October, "it is quite possible" that the banks were insolvent (Flannery 2009, 106). Later valuations of the domestic portion of the major banks' asset portfolios find large losses attributable to poor underwriting and overreliance on equity shares as collateral (Flannery 2009). Baudino, Sturluson, and Svoronos write that even a conservative estimate of the banks' assets would have overstated their capital due to connected lending and because customers had pledged the banks' own shares as capital. They write that if Kaupthing's solvency had been clearer in early October, it would have shown that granting emergency liquidity assistance wouldn't have prevented its collapse, as the issue was solvency not liquidity (Baudino, Sturluson, and Svoronos 2020).

**2. Part of a Package: The government of Iceland guaranteed all domestic deposits the same day the CBI provided emergency liquidity assistance to Kaupthing. Kaupthing's foreign subsidiaries received support from their respective official sectors.**

On October 6, the same day the CBI granted the emergency liquidity assistance to Kaupthing, the prime minister announced in a public address the government's intent to fully guarantee domestic deposits, stating that "deposits by Icelanders and private pensions savings in all Icelandic banks are secure and the exchequer will ensure that such deposits are reimbursed to savers in full" (Haarde 2008, 3). This guarantee did not extend to foreign depositors. For a full case study on the deposit guarantee, see Kulam (2022).

Also on October 6, the FME announced a temporary halt on trading of all financial instruments issued by Kaupthing, Glitnir, Landsbanki, Straumur-Burdarás Investment Bank, SPRON hf., and Exista hf. on regulated exchanges (CBI 2008b).

In the first quarter of 2008, the CBI sought to strengthen its reserves by establishing bilateral swap facilities with the Danmarks Nationalbank, Norges Bank, and Sveriges Riksbank. These agreements allowed the CBI to borrow up to EUR 500 million from each central bank, and while initially the agreements were precautionary, the CBI could use the funds to maintain financial stability. On October 14, only eight days after the CBI provided emergency liquidity assistance to Kaupthing, it drew EUR 200 million from both Danmarks Nationalbank and Norges Bank (Hoffner 2023).<sup>7</sup> These actions were a temporary solution until Iceland secured a support package from the International Monetary Fund (IMF) on November 19, 2008

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<sup>7</sup> Sveriges Riksbank did not initially allow the CBI to draw under the agreement, owing to the CBI and Icelandic government's failure to honor the commitments outlined in the swap memo (Hoffner 2023).

(Ingves 2022). For a full case study on Scandinavian central bank swaps with Iceland, see Hoffner (2023).

On October 7, 2008, the Icelandic Parliament passed emergency legislation, Act No. 125/2008, that provided the legal basis for the resolution process for banks in Iceland (Baudino, Sturluson, and Svoronos 2020). The emergency legislation granted the Ministry of Finance the ability to provide funds and capital to establish new banks or restructure existing banks; authorized the supervisory authority to take control of failing banks; and changed the hierarchy of claims, prioritizing customer deposits over unsecured claims in a financial institution's bankruptcy proceeding (Icelandic Government 2008). This act provided the legal basis for the takeover of Landsbanki on October 7, Glitnir on October 8, and ultimately Kaupthing on October 9 (BCBS 2010).

In Finland, the Finnish Financial Supervisory Authority blocked the transfer of assets owned by Icelandic banks, including Kaupthing, from leaving the country on October 6 (Brostrom 2008).

On October 8, the Swedish Riksbank provided a 5 billion Swedish kronor loan to Kaupthing Sverige, the Swedish subsidiary of Kaupthing Bank. The Riksbank believed Kaupthing Sverige to be solvent and provided the loan to protect depositors and creditors of both Kaupthing Bank Sverige AB and Kaupthing's Swedish branch (Kaupthing Edge)—as well as to safeguard financial stability in Sweden (Sveriges Riksbank 2008).

The bank's UK subsidiary, Kaupthing Singer & Friedlander, also faced a deposit run—particularly from its Edge online accounts (BCBS 2010). Following a period of intensified oversight, the UK Financial Services Authority concluded on October 8, 2008, that KSF no longer met the requirements to operate as a credit institution. The FSA triggered the Financial Services Compensation Scheme, the UK's statutory compensation fund of last resort for customers of financial services firms and ordered it to halt new business. That same day, the UK government used special powers to transfer KSF's Edge deposits to ING Direct—financed by the FSCS and the government, which became KSF's creditors (HM Treasury 2008).

### **3. Legal Authority: Act No. 36/2001 of the central bank laws of Iceland empowers the CBI to provide loans to commercial banks and savings banks to ensure financial stability.**

The legal basis for the CBI's emergency liquidity intervention was established in the provisions of Act No. 36/2001, the guiding laws for the CBI. Article 7 broadly establishes the CBI's authority to provide liquidity assistance to commercial banks and savings banks; it adds however, that the CBI may deviate from standard rates and collateral requirements to preserve the stability of the country's financial system. The CBI is authorized to conduct credit transactions in both domestic and foreign currencies (Icelandic Government 2001, 9). In the 2019 report on the emergency loan granted to Kaupthing, the CBI further defends the legality of the loan, stating that during the extreme market turmoil, rapid intervention was

required, allowing the CBI to circumvent specific processes required to provide a loan to Kaupthing (CBI 2019).

In 2019, the Icelandic Parliament updated its Central Banking laws in the new Act on the Central Bank of Iceland, No. 92/2019, which merged the FME into the CBI, hoping to enhance the stability and integrity of Iceland's banking and financial systems (Icelandic Government 2019; O'Dwyer 2022). This act also mandates that any decision to provide guarantees or loans to institutions facing liquidity issues must occur in a meeting convened by the governor and include the deputy governors (Icelandic Government 2019).

4. **Administration: After consulting with the prime minister, the CBI governor quickly executed the emergency liquidity program, with just two bank managers handling the loan on October 6. Relying on Danmarks Nationalbank's assessment of FIH as solid collateral, the CBI transferred the funds to Kaupthing's account the same day.**

There are no documents that can be interpreted as a loan request from Kaupthing with the loan amount, period, or terms (CBI 2019). The central bank's board decided to grant the emergency assistance after the governor of the central bank consulted with the prime minister in a phone call (Iceland Monitor 2017), and only two bank managers worked on the preparation of the loan. No agreement was formally signed because of the time and speed at which the case was processed (CBI 2019).

The timeline to finalize the loan was rushed. The CBI decided to grant the liquidity assistance around noon on October 6, and the loan needed to go out the same day—leading to limited time to assess the collateral and value of FIH (Parliamentary Budget Committee 2013). The CBI reached out to two governors of Danmarks Nationalbank to ask if they considered FIH solid collateral for a short-term loan of EUR 500 million; the governors agreed that it was. The CBI did not have the time to independently verify the valuation of FIH (CBI 2019).

Due to time constraints, there was not enough time to transfer ownership of FIH to the CBI in either electronic or paper form. Instead, a pledge was signed in two parts: one by Kaupthing's CEO and the other by Kaupthing's treasury managing director and its general counsel (CBI 2019).

Although the loan agreement was never finalized, the CBI transferred the funds into Kaupthing's account at Deutsche Bank as soon as the collateral pledge was received—by mid-afternoon on October 6. The CBI's payment instructions specified that the euros should be made available to Kaupthing on the same day (CBI 2019).

Following the collapse of the banks, the CBI created a holding company to unwind assets that had been taken over by the CBI and Treasury during the crisis. This holding company became responsible for the sale of FIH (Benediktsdóttir, Eggertsson, and Þórarinnsson 2017).

**5. Governance: The emergency liquidity assistance the CBI granted to Kaupthing faced limited formal oversight at the time owing to the rapid and ad hoc nature of the intervention.**

The emergency liquidity provided by the CBI to Kaupthing had minimal oversight owing to the urgent timeline, as Kaupthing needed the loan on October 6 to avoid bankruptcy (CBI 2019). By law, the governor of the central bank was permitted to take such drastic actions on his or her own (Icelandic Government 2001). In this case, the decision was made swiftly through informal discussions between the central bank's board and the prime minister (CBI 2019). In 2019, a bill was introduced requiring that decisions on granting last-resort loans be made during meetings attended by the central bank's governor and three deputy governors, with the decision formally documented in the meeting minutes.

Following the collapse of all three major Icelandic banks, the Icelandic Parliament established the Special Investigation Commission, whose mandate was to investigate and analyze the events leading up to the banking collapse. The SIC report was published in April 2010 (SIC 2010). In addition to the SIC report, parliamentary hearings provided further post-crisis assessments (Parliamentary Budget Committee 2013).

**6. Communication and Disclosure: The CBI did not publish an official press release on the assistance to Kaupthing. It delayed until 2017 the release of the transcript of the October 6, 2008, phone call in which the CBI governor secured the prime minister's approval for the loan.**

Two days before the CBI provided liquidity assistance, then-Kaupthing chairman Sigurdur Einarsson dismissed rumors of instability, noting Kaupthing's sound fundamentals, liquidity position, and strong international portfolio. The Icelandic government also attempted to calm fears by denying to the media that it would have to rescue Kaupthing after the partial takeover of Glitnir—while stating that it was working on a broad-based rescue plan for the Icelandic economy (Goodman 2008).

On October 7, after the Parliament passed the emergency legislation overnight, Act No. 125/2008 (see Key Design Decision No. 2, Part of a Package), Kaupthing released a statement that it had not been approached by the FME and that the CBI had “provided Kaupthing with a 500 million euro loan to facilitate operations” (Kaupthing 2008a). This report was picked up the same day by various news outlets, which reiterated that Kaupthing was committed to working with the government to ensure regular workings of the Icelandic financial system (Esmerk 2008; Pollard 2008).

No official press briefing was issued by the CBI regarding the loan provided to Kaupthing on October 6, 2008. However, on a television program on the evening of October 7, the chair of the CBI was asked about the loan, where he described it as a bridge loan for a very short period of time, just to give this bank a chance to develop and not let it fall short because it has been subjected to perhaps harsh measures (CBI 2019). When asked about concerns over the loan not being repaid, he responded with a reference to the loan's collateral, saying that



the central bank would acquire a very good bank in Denmark if Kaupthing couldn't repay the loan in cash (RÚV 2008).

On October 8, in its press release announcing its provision of liquidity to Kaupthing, Sweden's central bank, Sveriges Riksbank, mentioned the support provided by the CBI (Sveriges Riksbank 2008).

The first official Icelandic press release on Kaupthing came on October 9, 2008, from the FME when it took control of Kaupthing, but there was no mention of the emergency liquidity (FME 2008b). In an October 27 press release, the CBI referenced the assistance it had provided to Kaupthing, explaining that it was intended to help the bank meet the demands of the UK's Financial Supervisory Authority "regarding the status of [Kaupthing's] subsidiary in London" (CBI 2008e, 1).

Disclosure on key details of the emergency liquidity program were lacking in the years following the crisis. A 2013 Parliamentary Budget Committee report notes that the committee had learned of the existence of a transcript of the October 6, 2008, phone call between the prime minister and governor of the CBI discussing the loan to Kaupthing but that the CBI had repeatedly denied the committee's request to review the transcript, citing confidentiality laws (Parliamentary Budget Committee 2013). The call contained CBI Governor Oddsson's comment that he didn't believe the CBI would get its money back from the loan, despite its analysis earlier in the year that the bank was solvent (CBI 2019). The Icelandic government released the transcript of the phone call in November 2017, despite the protests of the former prime minister who said that he was not aware the phone call had been recorded (Pálsson 2019).

Following the sale of FIH, the CBI was under pressure to disclose the decision-making details behind both the loan provided to Kaupthing as well as why it had taken FIH as collateral. After delays, which the CBI blamed on the heavy workload at the bank, the CBI released the report discussing the liquidity assistance to Kaupthing in 2019 (CBI 2019).

## **7. Source and Size of Funding: The CBI provided the funds for the EUR 500 million loan to Kaupthing from its foreign exchange reserves.**

The CBI agreed to grant Kaupthing a loan of EUR 500 million (approximately ISK 77.5 billion) on October 6, 2008 (Parliamentary Budget Committee 2013). The funds came directly from the reserves of the CBI and represented approximately one-fifth of the country's entire foreign exchange reserves (Baudino, Sturluson, and Svoronos 2020). The loan was disbursed the same day; CBI withdrew from its accounts in foreign banks to deposit the funds into Kaupthing's account in Deutsche Bank Frankfurt (CBI 2019). The payment instructions noted that the euros should be made available to Kaupthing the same day (CBI 2019; Parliamentary Budget Committee 2013).

On November 18, 2018, the prime minister of Iceland submitted a written request to the CBI prompting the central bank to acquire information on how Kaupthing used the funds. The CBI then requested the information from Kaupthing and received an examination completed in 2010 that tracked the inflows and outflows of Kaupthing's euro account at Deutsche Bank

Frankfurt from the morning of October 6 until the bank was taken over by the FME on the evening of October 9. The account showed about EUR 800 million of outflows from October 6 through 8, of which the largest portion, EUR 225 million, went to satisfy Kaupthing Edge deposit withdrawals, as displayed in Figure 2 (CBI 2019).

**Figure 2: Inflows and Outflows of Kaupthing's Deutsche Bank Frankfurt Account, October 6–8, 2008**

|                                   | Amount (euros, millions) | Description                                                                  |
|-----------------------------------|--------------------------|------------------------------------------------------------------------------|
| <b>Initial Balance, Oct. 6</b>    |                          |                                                                              |
|                                   | -387                     | Pre-inflow balance, Oct. 6                                                   |
| <b>Inflows, Oct. 6</b>            |                          |                                                                              |
|                                   | 500                      | ELA from CBI                                                                 |
|                                   | 698                      | Other payments into the account                                              |
|                                   | <b>811</b>               | <b>Total available funds, Oct. 6 (Initial Balance and Inflows)</b>           |
| <b>Outflows, Oct. 6-8</b>         |                          |                                                                              |
|                                   | -225                     | Payments to Kaupthing Edge depositors                                        |
|                                   | -170                     | Payment to a foreign central bank                                            |
|                                   | -50                      | Payment to two foreign companies for CLN bond issuance                       |
|                                   | -47                      | Payment to two European banks for a call in connection with a repo agreement |
|                                   | -203                     | Payments due to foreign exchange transactions                                |
|                                   | -114.5                   | Small payments (less than EUR 10 million) totaling EUR 114.5 million         |
|                                   | <b>-809.5</b>            | <b>Total disbursement of funds by end of day Oct. 8</b>                      |
| <b>Balance, end of day Oct. 8</b> | <b>.6</b>                | <b>Initial balance and inflows minus outflows</b>                            |

Source: CBI 2019.

Kaupthing's euro account at Deutsche Bank in Frankfurt showed a balance of EUR 600,000 by end of day on October 8 (CBI 2019).<sup>8</sup>

**8. Rates and Fees: The CBI charged the euro area interbank interest rate plus 500 basis points, resulting in an interest rate of 9.4% on the loan.**

The interest rate charged on the loan was 9.4% (Parliamentary Budget Committee 2013). This rate was equivalent to the interbank interest rate in the euro area at the time plus 5% (CBI 2019).

Although the reasoning behind this particular rate choice was not disclosed, the CBI was authorized to deviate from standard rates (Icelandic Government 2001, 9). The CBI's key

<sup>8</sup> The EUR 0.9 million discrepancy between the inflow-outflow difference (EUR 1.5 million) and the reported balance at the end of the day on October 8 (EUR 0.6 million) is attributed to rounding error.

interest rate at the time was the collateralized lending rate, and the rate on seven-day collateralized lending was 15.5% on October 6, 2008 (CBI n.d.). At the time, because of the risks facing the Icelandic banking system, Icelandic debt traded at a substantial premium to Eurozone interest rates (CBI 2008a).

**9. Loan Duration: The initial loan term was four days, but it was terminated a day early when Kaupthing was taken over by the FME.**

The loan duration for Kaupthing's emergency liquidity assistance was four days (Baudino, Sturluson, and Svoronos 2020).

According to the CBI, a duration period of four days was Kaupthing's request. However, the CBI noted that it did not find any official documents that can be interpreted as a loan request from Kaupthing; such a document would have formally listed Kaupthing's requested loan terms and information on how the money would be used (CBI 2019).

On October 7, 2008, then-Chair of the Board of Governors of the CBI Davíð Oddsson participated in a televised interview during which he described the loan to Kaupthing as a bridge loan for a very short period of time (Davíðsdóttir 2009).

On October 9, one day before the scheduled end of the loan period, the FME announced that it had become involved in the operations of Kaupthing and established a resolution committee (CBI 2009). The FME and CBI agreed to begin looking for a buyer for FIH with the understanding that the funds from the sale would go directly to the CBI. When the new owners took over FIH on January 6, 2011, the CBI received a payment of approximately EUR 255 million (CBI 2019).

**10. Balance Sheet Protection: Kaupthing offered all its shares in its Danish subsidiary, FIH Erhverksbank A/S, as collateral for the loan, on verbal assurances of its value from Danish central bankers. Ultimately selling the collateral, the CBI received approximately half the loan amount.**

On October 5, 2008, Kaupthing and Landsbanki submitted a joint proposal to the Icelandic government on how to respond to the crisis. This proposal included providing Landsbanki with EUR 1 billion and Kaupthing with EUR 500 million. It is within this context that Kaupthing discussed putting FIH, a bank it owned in Denmark, up as collateral for the loan (Parliamentary Research Committee 2010).

Although this proposal was declined by the CBI and dismissed as too risky because the banks were likely to fail in a matter of days, the use of FIH as collateral was implemented for the loan that was eventually granted to Kaupthing the next day. In a meeting at about 2am on October 6 among the CBI and three representatives from JPMorgan, the JPMorgan representatives suggested that the broader financial system could not be saved, but there was still hope to defend Kaupthing (Parliamentary Research Committee 2010). Later that morning, the governor of the CBI stated in a phone call with the prime minister that Kaupthing would go bankrupt if it did not provide the loan on the same day (CBI 2019).

As collateral for the EUR 500 million emergency liquidity assistance from the CBI, Kaupthing put up all of the bank's shares in FIH (Baudino, Sturluson, and Svoronos 2020). FIH was the sixth-largest bank in Denmark; as of June 30, 2008, its equity amounted to 8 billion Danish kroner, which corresponded to about EUR 1.07 billion (CBI 2019). The book value of the company was thus more than 200% of the loan amount (Baudino, Sturluson, and Svoronos 2020).

In a phone call between then-CBI Chair Davíð Oddsson and Prime Minister Geir H. Haarde on October 6, 2008, Oddsson stated that he expected the CBI would not get the money back by the end of the loan period and to expect otherwise was wishful thinking (CBI 2019). According to a report from Sturla Pálsson, director of market business and treasury management of the CBI, who was present for the call, the loan was granted even though Oddsson thought there was little to no chance of the money being recovered (Seljan 2016). In the call, Oddsson emphasized the importance of having high-quality collateral given the high risk associated with a loan to Kaupthing (Baudino, Sturluson, and Svoronos 2020). However, since the decision to finalize a loan between the CBI and Kaupthing was made at approximately noon on October 6 and the funds were set to be disbursed the same day, there was not much time to verify the status of the collateral before the end of the business day in Denmark (Parliamentary Budget Committee 2013).

The CBI contacted two governors of the Danish central bank on October 6 and asked whether FIH represented solid collateral for a short-term loan of EUR 500 million. The Danish authorities responded that they believed it was true that FIH constituted solid collateral. The CBI did not independently assess the value of FIH, stating that there was not enough time to do so (CBI 2019). The CBI's annual report from 2008 states that all of the collateral attached to the loans it had issued to commercial banks were, "regarded of good quality," including, "all the outstanding shares of the Danish bank FIH" (CBI 2009, 59).

Shares in FIH had not been issued (electronically or on paper) on a stock exchange. Therefore, the administrator of the share register of FIH entered a note in the share register stating that all of Kaupthing's holdings were pledged to the CBI. Written confirmation of this act was received by the CBI on October 6. A report from the CBI notes that Kaupthing's holdings in FIH amounted to 99.89% of the issued share capital in the bank (CBI 2019).

When Kaupthing collapsed on the night of October 9, its holdings in FIH that had been submitted as collateral remained in Kaupthing's liquidation estate. FIH remained in the liquidation estate as opposed to immediately being transferred to the CBI because of concerns regarding potential provisions in FIH's foreign loan agreements that stipulated that ownership lenders could demand immediate repayment of loans upon change of ownership. Kaupthing's resolution board (established on October 9) and the CBI agreed to look for a way to sell FIH, and JPMorgan was brought in as a consultant to find potential buyers, assist in valuing FIH, and document the process. The CBI agreed that it was in the best interest of FIH and the shareholders that FIH be transferred directly from Kaupthing's liquidation estate to the prospective buyer and that the sale price would then go directly to the CBI to settle the cost of the loan (CBI 2019).

The part of the CBI responsible for addressing the sale of FIH was the CBI Holding Company, which was created to unwind assets that had been taken over by the CBI and the Treasury during the crisis (Benediktsdóttir, Eggertsson, and Þórarinnsson 2017).

Sales attempts in the last few months of 2008 were unsuccessful (CBI 2019). In 2010, a consortium consisting of ATP, PFA, Folksam, and CP Dyvig & Co. presented an offer to buy FIH (CBI 2010a). When negotiating the terms of the sale, Kaupthing and the CBI initially intended to receive at least the equivalent of EUR 550 million (the initial loan amount plus interest). The CBI and the consortium of buyers signed a purchase agreement on September 18, 2010, and ownership of FIH was transferred over to the buyers on January 6, 2011 (CBI 2019).

Per the purchase agreement, when FIH was sold to its new owners, the CBI received a payment of approximately EUR 255 million (CBI 2019). With the sale of FIH, the CBI recovered only about half of the emergency loan, resulting in a loss of about 2.5% of GDP (Benediktsdóttir, Eggertsson, and Þórarinnsson 2017).

There were other stipulations in the purchase agreement that potentially would have allowed the CBI to recover more of the loan amount (CBI 2019). The initial purchase price of FIH was EUR 670 million, and consisted of the EUR 255 million cash payout, an earn-out payout of up to EUR 415 million that would be adjusted for actual losses incurred by FIH until December 31, 2014, and an additional earn-out payment dependent on the buyer's realized gain on the investment in FIH at the latest on December 31, 2015 (CBI 2010a). During the 2018–2019 legislative session, the prime minister's office was asked about the status of the CBI's recovery of the loan. There was no final status on the recovery of the funds, and while the CBI could potentially collect more recovery funds, it was very unlikely that any further collections would result in recoveries significantly exceeding the initial EUR 255 million payout (Jakobsdóttir n.d.).

**11. Impact on Monetary Policy Transmission: The euro-denominated liquidity provided to Kaupthing represented a significant portion of the CBI's foreign exchange reserves, and the central bank was also attempting to peg the currency at ISK 131 to the euro, which ultimately failed.**

Before the GFC, more than two-thirds of lending and over three-quarters of deposits were denominated in foreign currency for the three largest banks in Iceland (Glitnir, Landsbanki, and Kaupthing). The central bank reserves denominated in foreign currency of were 21% of GDP—or, if including a swap agreement with the Nordic countries and other committed credit lines, 35% of GDP. This meant that the CBI had limited resources for the emergency liquidity operations in terms of foreign exchange. The banks' large foreign currency balance sheets and their size relative to the size of Iceland's GDP were key vulnerabilities that contributed to their collapse (CBI 2010b).

The liquidity granted to Kaupthing in euros amounted to about one-fifth of the country's entire foreign exchange reserves (Baudino, Sturluson, and Svoronos 2020). In the October 6 call between Oddsson and the prime minister, Oddsson mentioned that they could gather

EUR 500 million, which might support Kaupthing for four or five days, but it would prevent them from assisting Landsbanki (Seljan 2016).

During a portion of the loan duration period (October 7 and 8), the CBI tried to create stability around the exchange rate of the Icelandic krona (CBI 2008d). The CBI was exchanging foreign currency at a rate of ISK 131 to the euro, which differed from the rate that had been established on the interbank market. On October 7, the bank sold EUR 6 million for ISK 786 million (CBI 2008c). However, on October 8, the CBI published another press release stating that the 131 kronur per euro exchange rate did not have enough support, and the CBI would be abandoning its attempts to peg the currency at that rate (CBI 2008d).

The collapse of Kaupthing on October 9 represented the last of the three big banks to fail, and the domestic market therefore became disconnected from the offshore market, where the krona continued to depreciate (CBI 2010b).

**12. Other Conditions: The CBI did not impose any additional conditions on Kaupthing for the usage of the loan.**

In the 2019 document that the CBI published to review the loan, the central bank notes that it did not impose any additional conditions on Kaupthing for the usage of the loan. The loan was therefore added to Kaupthing's liquid assets on October 6, 2008, and was utilized at Kaupthing's discretion (CBI 2019).

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